

ABANS FINANCE PLC

AUDITED FINANCIAL STATEMENTS

FOR THE YEAR ENDED

31 MARCH 2017





Building a better
working world

Ernst & Young
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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS FINANCE PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Abans Finance PLC, ("the Company"), which comprise the statement of financial position as at 31 March 2017, and the statement of comprehensive income, statement of changes in equity and, statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information set out on pages 3 to 57.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 March 2017, and of its financial performance and cash flows for the year then ended, in accordance with Sri Lanka Accounting Standards.

EY

(Contd...2/)



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Report on other legal and regulatory requirements

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion, Scope and Limitations of the audit are as stated above.
- b) In our opinion :
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company, and
 - The financial statements of the Company comply with the requirements of Section 151 of the Companies Act No. 7 of 2007.

Ernst & Young

22 June 2017

Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2017

	Notes	2017 Rs.	2016 Rs.
Income	5	1,620,506,380	1,317,233,363
Interest Income	5.1	1,494,673,696	1,189,278,894
Interest Expenses	5.2	(623,639,761)	(481,221,503)
Net Interest Income		871,033,935	708,057,391
Fee and Commission Income	6.1	104,114,176	111,586,810
Fee and Commission Expenses	6.2	(84,747,252)	(76,888,915)
Net Fee and Commission Income		19,366,924	34,697,895
Net Gain/(loss) from Trading	7	948,394	(582,293)
Other Operating Income (net)	8	20,770,114	16,949,952
Total Operating Income		912,119,367	759,122,945
Impairment (Charges) / Reversal for loans and other losses			
Individual	9.1	(21,441,585)	(35,826,562)
Collective	9.2	(167,927,808)	(190,013,555)
Net Operating Income		722,749,974	533,282,828
Operating Expenses			
Personnel Costs	10	(217,088,659)	(166,916,649)
Depreciation & Amortization	11	(18,660,549)	(12,908,611)
Other Operating Expenses	12	(234,275,675)	(192,788,213)
Operating Profit before Value Added Tax on Financial Services		252,725,091	160,669,355
VAT & NBT on Financial Services		(55,318,763)	(30,188,461)
Profit before Taxation from Operations		197,406,328	130,480,894
Provision for Income Taxation	13.1	(63,842,188)	(40,356,230)
Profit for the Year		133,564,140	90,124,664
Other Comprehensive Income (OCI)			
Items that are or may be reclassified subsequently to profit or loss			
Available for sale financial asset - Reclassified to profit or loss		-	(130,255)
		-	(130,255)
Items that will not be reclassified to profit or loss			
Actuarial Gains/(Losses) on Defined Benefit Plan	34.1	3,531,254	(471,493)
Deferred Tax effect of above	13.1	(988,751)	132,018
		2,542,503	(339,475)
Other Comprehensive Loss for the Year, Net of Tax		2,542,503	(469,730)
Total Comprehensive Income for the Year		136,106,643	89,654,934
Basic Earnings Per Share (Rs.)	14	2.75	2.29

Accounting Policies and Notes from pages 07 to 57 form an integral part of these Financial Statements.

STATEMENT OF FINANCIAL POSITION

As at 31 March 2017

	Notes	2017 Rs.	2016 Rs.
Assets			
Cash and Bank Balances	15	376,968,804	73,385,295
Placement With Banks	16	384,100,772	224,098,165
Repurchase Agreements	17	250,809,890	630,158,527
Financial Investments - Held for Trading	18	7,624,408	6,915,241
Loans and Advances	19	2,145,676,031	1,188,546,845
Lease rentals receivable & Stock out on hire	20	3,679,965,646	3,596,251,779
Financial Investments - Available for Sale	21	80,400	80,400
Financial Investments - Held to Maturity	22	238,572,963	21,669,813
Other Financial Assets	23	108,507,477	73,802,179
Real Estate Stock	24	66,050,693	83,066,481
Other Non Financial Assets	25	40,725,064	97,894,824
Tax Recoverable		20,800,270	-
Property, Plant & Equipment	27	85,843,673	75,811,265
Intangible Assets	26	22,681,042	15,608,896
Deferred Tax Assets	28	57,800,324	61,419,536
Total Assets		7,486,207,457	6,148,709,246
Liabilities			
Due to Banks	29	213,738,920	47,004,092
Due to Customers	30	5,550,552,545	4,539,362,221
Debt Instruments Issued and Other Borrowed Funds	31	-	31,110,631
Other Financial Liabilities	32	482,649,541	837,025,511
Other Non Financial Liabilities	33	13,862,374	8,086,521
Current Tax Liabilities		-	56,345,826
Retirement Benefit Liability	34	15,138,320	15,249,338
Total liabilities		6,275,941,700	5,534,184,140
Shareholders' Funds			
Stated Capital	35	844,073,080	382,373,630
Statutory Reserve Fund	36.2	89,266,829	62,554,000
Retained Earnings	36.1	276,925,848	169,597,476
Total Shareholders' Funds		1,210,265,757	614,525,106
Total Liabilities and Shareholders' Funds		7,486,207,457	6,148,709,246
Commitments and Contingencies	41	172,609,297	210,778,208

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.

P W K Roshan (Sgnd.)
Head of Finance

The Board of Directors is responsible for the preparation & and presentation of these Financial Statements. Signed for and on behalf of the Board by,

K.B.Wanigasekara (Sgnd.)
Director

Rusi Pestonjee (Sgnd.)
Director

Accounting Policies and Notes from pages 07 to 57 form an integral part of these Financial Statements.

22 June 2017
Colombo

STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2017

	Stated Capital	Statutory Reserve	Reserve on Available for Sale Financial Instruments	Retained Earnings	Total
	Rs. (Note 35)	Rs. (Note 36.2)	Rs.	Rs. (Note 36.1)	Rs.
Balance as at 1 April 2015	382,373,630	44,529,000	130,255	97,837,286	524,870,171
Net profit for the year	-	-	-	90,124,664	90,124,664
Other Comprehensive Income net of tax	-	-	(130,255)	(339,475)	(469,730)
Total Comprehensive Income for the year	-	-	(130,255)	89,785,190	89,654,934
Transfer to Statutory Reserve	-	18,025,000	-	(18,025,000)	-
Balance as at 31 March 2016	382,373,630	62,554,000	-	169,597,476	614,525,106
Issue of Shares	461,699,450	-	-	-	461,699,450
Direct Cost on Right Issue	-	-	-	(785,447)	(785,447)
Direct Cost on Private Placement	-	-	-	(1,279,995)	(1,279,995)
Net profit for the year	-	-	-	133,564,140	133,564,140
Other Comprehensive Income net of tax	-	-	-	2,542,503	2,542,503
Total Comprehensive Income for the year	461,699,450	-	-	134,041,201	595,740,651
Transfer to Statutory Reserve	-	26,712,829	-	(26,712,829)	-
Balances as at 31 March 2017	844,073,080	89,266,829	-	276,925,848	1,210,265,757

Accounting Policies and Notes from pages 07 to 57 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 March 2017

	Notes	2017 Rs.	2016 Rs.
Cash Flows From / (Used in) Operating Activities			
Profit before Income Tax Expense		197,406,328	130,480,894
Adjustments for			
Depreciation	27.2	16,146,846	11,416,894
Amortization of Intangible Assets	26	2,513,703	1,491,717
Impairment Provision	9	189,369,393	225,840,117
Diminution/(Appreciation) in Value of Investments	7	(674,167)	827,662
Loss/(Profit) from Sale of Unit Trust	8	(2,142,786)	(8,924,199)
Loss/(Profit) on Disposal of Property & Equipment	8	-	19,829
Provision/(Reversal) for Defined Benefit Plans	10	4,466,536	3,788,956
Dividend Received		(274,227)	(245,369)
Operating Profit before Working Capital Changes		406,811,625	364,696,501
(Increase)/Decrease in Real Estate Stock		17,015,788	(14,020,577)
(Increase)/Decrease in Loans and Advances		(1,017,572,990)	(552,542,106)
(Increase)/Decrease in Lease Rentals Receivable & Stock out on hire		(83,841,030)	(838,856,351)
(Increase)/Decrease in Other Financial Assets		(163,503,724)	(110,379,280)
(Increase)/Decrease in Other Non Financial Assets		57,169,761	(16,109,497)
Increase/(Decrease) in Amounts Due to Customers		1,011,190,324	947,401,216
Increase/(Decrease) in Other Financial Liabilities		(354,375,970)	375,408,654
Increase/(Decrease) in Other Non Financial Liabilities		5,775,853	6,227,303
Cash Generated from Operations		(121,330,364)	161,825,862
Retirement Benefit Liabilities Paid	34	(1,046,300)	(485,813)
Taxes Paid		(138,357,828)	(53,343,375)
Net Cash From/(Used in) Operating Activities		(260,734,492)	107,996,674
Cash Flows from / (Used in) Investing Activities			
Acquisition of Property, Plant & Equipment	27	(26,179,254)	(32,378,791)
Acquisition of Intangible Assets	26	(9,585,849)	(6,859,530)
Proceeds from Sales of Property, Plant & Equipment		-	32,250
Acquisition of Financial Investment held - for - trading		(35,000)	(372,546)
Cash Flow from/(Used in) Fixed Deposits		(3,710)	(2,807)
Sale/(Purchase) of Financial Investments- Held to Maturity		(216,903,150)	(519,400)
Sale of Financial Investments- Unit Trust		102,142,786	208,924,199
Purchase of Financial Investments- Unit Trust		(100,000,000)	(100,000,000)
Proceeds from Disposal of Debt Securities		-	49,278,342
Dividend Received		274,227	245,369
Net Cash Flows from/(Used in) Investing Activities		(250,289,950)	118,347,087
Cash Flows from / (Used in) Financing Activities			
Net Cash Outflow from Securitized Borrowings and other bank facilities		(104,971,953)	(96,643,162)
Cash Flow from Debt Instruments Issued and Other Borrowings	29.2	250,000,000	31,110,631
Net Cash Flow from Issue of Shares		459,634,008	-
Net Cash Flows from/(Used in) Financing Activities		604,662,054	(65,532,531)
Net Increase in Cash and Cash Equivalents		93,637,612	160,811,230
Cash and Cash Equivalents at the beginning of the year		905,839,030	745,027,800
Cash and Cash Equivalents at the end of the year	15.1	999,476,642	905,839,030

Accounting Policies and Notes from pages 07 to 57 form an integral part of these Financial Statements.

1. PORATE INFORMATION

1.1 General

Abans Finance PLC is a domiciled, public limited liability company incorporated in Sri Lanka on 08 April 2005 under the Companies Act No. 17 of 1982, The Company was reregistered under the Companies Act No.7 of 2007 on 15 June 2009. It is a Licensed Finance Company registered under the Finance Business Act No.42 of 2011. The Company was listed on the Colombo Stock Exchange in 2011.

The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

1.2 Principal Activities and Nature of Operations

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of saving Deposits, Providing Finance Leases, Hire Purchase, Mortgage Loans, Personal Loans and Other Credit Facilities. The Company also deals in real estate and Real Estate and related Services.

1.3 Parent Enterprise and Ultimate Parent Enterprise

The Company's parent and ultimate parent company is Abans PLC.

1.4 Date of Authorization for Issue

The Financial Statements of Abans Finance PLC for the year ended 31 March 2017 was authorized for issue in accordance with a resolution of the Board of Directors on 22 June 2017.

1.5 Directors' Responsibility Statement

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Company (Statement of Financial Position and Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2017 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007.

2.2 Basis of Measurement

The Financial Statements have been prepared on the historical cost basis, except for Financial Investments held for trading and Available-for-sale financial assets which are measured at fair value and Defined Benefit Obligations which are measured at present value using the projected unit credit method in the Statement of Financial position.

2.3 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees, which is also the Company's functional and presentation currency. (except otherwise indicated).

2.4 Presentation of financial statements

The Company presents its Statement of Financial Position broadly grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 40.

2.5 Materiality & Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

2.6 Comparative Information

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with LKAS 01 Presentation of Financial Statements.

2.7 Events after Reporting Date

All material events after the reporting date have been considered and appropriate disclosures are made in Note 42 to the Financial Statements.

2.8 Statement of Cash Flows

The Statement of Cash flows is prepared using the indirect method, as stipulated in LKAS 7-“Statement of Cash Flows”. Cash and cash equivalents comprise cash in hand; cash at bank, bank overdraft and Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

3. SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

a) Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken in to consideration in the assumptions when they occur.

I. Going Concern

The Directors have made an assessment of the company’s ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company’s ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

II. Defined Benefit Plans

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 34.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company.

III. Impairment losses on Loans and Advances

The Company reviews their individually significant loans and advances at each date of statement of financial position to assess whether an impairment loss should be recorded in the income statement. In particular, management’s judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes in to account data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios, etc.), and judgements on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates).

IV. Impairment of Financial Investments - Available for Sale Financial Assets

The Company reviews its debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgement as applied to the individual assessment of loans and advances.

The Company also records impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the Company evaluates, among other factors, historical share price movements and duration and extent to which the fair value of an investment is less than its cost.

V. Useful life of Property, plant and Equipment and Intangible Assets

The Company reviews the assets' residual values, useful lives and methods of depreciation at each reporting date. Judgment by the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

VI. Provisions, Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Refer Note 41 for more details on Commitments and Contingencies.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

4.1 Cash and Cash Equivalents

Cash and cash equivalents comprise cash in hand, balance with banks and investments in Government Securities.

For the purpose of the Statement of Cash Flow, cash and cash equivalents consist of cash and short term deposits and investments in Government Securities as defined above, net of unfavourable bank balances.

4.2 Financial Assets

4.2.1 Financial Assets – initial recognition and subsequent measurement

Financial Assets within the scope of LKAS 39 are classified as Loans and Advances, Lease Rental Receivables, Financial Investments Held-to-Maturity, Financial Investments Available-for-sale, Financial Investments Held for Trading as appropriate. The Company determines the classification of its financial assets at initial recognition.

(i) Date of recognition

All Financial Assets are initially recognized on the trade date, i.e., the date that the company becomes a party to the contractual provisions of the instrument. This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Initial measurement of Financial Assets

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All Financial Assets are measured initially at their fair value plus transaction costs, except in the case of financial assets recorded at fair value through profit or loss.

(iii) Financial Assets Held for Trading

Financial assets held for trading are recorded in the statement of financial position at fair value. Changes in fair value are recognized in 'Net Trading Income'. Dividend income is recorded in 'Net trading income' according to the terms of the contract, or when the right to the payment has been established.

(iv) Available for Sale Financial Assets

Available for sale investments include non-quoted equity securities. Equity investments classified as available for sale are those which are neither classified as held for trading nor designated at fair value through profit or loss.

Dividends earned whilst holding available for sale financial investments are recognised in the income statement as 'Other operating income' when the right of the payment has been established.

The Company has measured its non-quoted equity investments classified as available for sale financial instruments at Fair Value.

(v) Held- to- Maturity Financial Investments

Held to maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. Subsequent to initial recognition, held to maturity financial investments are measured at amortised cost using the Effective Interest Rate less impairment.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the Effective Interest Rate.

The amortisation is included in 'Interest income' in the income statement. The losses arising from impairment of such investments are recognised in the income statement line 'Impairment (Charges) / Reversal for loans and other losses'.

If the company was to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as available for sale. Furthermore, the company would be prohibited from classifying any financial asset as held to maturity during the following two years.

(vi) Loans and Advances to customers and Lease Rental Receivables from customers

Loans and advances to customers and Lease Rental Receivables from customers include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the company intends to sell immediately or in the near term and those that the company, upon initial recognition, designates as at fair value through profit or loss
- Those that the company, upon initial recognition, designates as available for sale

- Those for which the company may not recover substantially all of its initial investment, other than because of credit deterioration

After initial measurement, amounts 'loans and advances to customers and Lease Rental Receivables from customers are subsequently measured at amortised cost using the Effective Interest Rate, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the Effective Interest Rate. The amortisation is included in 'Interest income' in the income statement. The losses arising from impairment are recognised in the income statement in "Impairment (Charges) / Reversal for loans and other losses"

4.2.2 'Day 1' difference

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in 'Net trading income'.

4.2.3 Reclassification of Financial Assets

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost, if the basis of measurement of the reclassified category is amortized cost.

For a financial asset reclassified out of the 'available for sale' category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the Effective Interest Rate. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the Effective Interest Rate. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the income statement.

The Company may reclassify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the Company has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the Company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the Effective Interest Rate from the date of the change in estimate.

Reclassification is at the election of management, and is determined on an instrument by instrument basis. The Company does not reclassify any financial instrument into the fair value through profit or loss category after initial recognition.

4.2.4 Derecognition of Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired.
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either:
 - ▶ The company has transferred substantially all the risks and rewards of the asset. or
 - ▶ The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

4.2.5 Impairment of Financial Assets

The company assesses at each reporting date, whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

i. Loans and Advances to customers, Lease Rental Receivable from customers and Stock Out on Hire to Customers

Losses for impaired loans are recognised promptly when there is objective evidence that impairment of a loan or portfolio of loans has occurred. Impairment allowances are calculated on individual loans and for groups of loans, this is done collectively. Impairment losses are recorded as charges to the income statement. The carrying amount of impaired loans on the statement of financial position is reduced through the use of impairment allowance accounts. Losses expected from future events are not recognised.

Individually assessed Loans and Advances and Lease and Stock out on hire

For all loans that are considered individually significant, the company assesses on a case-by-case basis at each reporting date whether there is any objective evidence that a loan is impaired. The criteria used to determine that there is such objective evidence includes:

- Known cash flow difficulties experienced by the borrower;
- Past due contractual payments of either principal or interest;
- Breach of loan covenants or conditions;
- The probability that the borrower will enter bankruptcy or other financial realisation; and
- A significant downgrading in credit rating by an external credit rating agency.

For those loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:

- Company's aggregate exposure to the customer;
- The viability of the customer's business model and the capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
- The amount and timing of expected receipts and recoveries;
- The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- The realisable value of security and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the resultant present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

Collectively assessed Loans and Advances to customers, Lease Rental Receivable from customers and Stock out on Hire to customers

Impairment is assessed on a collective basis in two circumstances:

- To cover losses which have been incurred but have not yet been identified on loans subject to individual assessment; and
- For homogeneous groups of loans that are not considered individually significant.
- Incurred but not yet identified impairment

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the company has incurred as a result of events occurring before the balance sheet date, which the company is not able to identify on an individual loan basis, and that can be reliably estimated.

These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the group, those loans are removed from the group and assessed on an individual basis for impairment.

The collective impairment allowance is determined after taking into account:

- Historical loss experience in portfolios of similar credit risk; and
- Management's experience judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the reporting date is likely to be greater or less than that suggested by historical experience.

Homogeneous groups of Loans and Advances

Statistical methods are used to determine impairment losses on a collective basis for homogeneous groups of loans. Losses in these groups of loans are recorded on an individual basis when individual loans are written off, at which point they are removed from the group.

Following method is used to calculate historical loss experience on a collective basis:

- Net flow rate method

Under this methodology the movement in the outstanding balance of customers in to bad categories over the periods are used to estimate the amount of loans that will eventually be written off as a result of the events occurring before the reporting date which the Group is not able to identify on an individual loan basis, and that can be reliably estimated.

Under these methodologies, loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required covering inherent loss.

These additional macro and portfolio risk factors may include:

- Recent loan portfolio growth and product mix,
- Unemployment rates, Gross Domestic Production (GDP) growth, inflation
- Exchange rates, interest rates
- Changes in government laws and regulations

Write-off of Loans and Advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realisation of security.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the statement of comprehensive income.

ii. Available for Sale Financial Investments

For available for sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment is impaired. In the case of debt instruments classified as available for sale, the company assesses individually whether there is objective evidence of impairment.

However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Interest income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement. Impairment losses recognized in profit or loss for an investment in an equity instrument classified as available for sale shall not be reversed through profit or loss.

In the case of equity investments classified as available for sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement is removed from equity and recognised in the income statement. Impairment losses on equity investments are not reversed through the income statement; increases in the fair value after impairment are recognised in other comprehensive income.

iii. Held-to-Maturity Financial Assets

An impairment loss in respect of held-to-maturity financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original Effective Interest Rate and is recognized in profit or loss. Interest on impaired assets continues to be recognized through the unwinding of discount. When a subsequent event caused the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

iv. Renegotiated Loans

Where possible, the company seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original Effective Interest Rate as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original Effective Interest Rate.

4.2.6 Collateral valuation

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, other non-financial assets. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

4.2.7 Collateral Repossessed

The Company's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

4.2.8 Other Financial Assets

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

4.2.9 Real Estate Stock

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost	-	Land Cost with Legal Charges.
Cost of Conversion	-	Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale.

4.3 Non - Financial Assets**4.3.1 Property, Plant and equipment****Recognition and measurement**

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

- Cost Model

Property, Plant and Equipment is stated at cost excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

Subsequent Cost

These are costs that are recognised in the carrying amount of an item, if it is probable that the future economic benefits embodied within that part will flow to the company and it can be reliably measured.

Depreciation

The provision for depreciation is calculated by using the straight line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

Asset Category	Rate of Depreciation (per annum)
• Furniture & Fittings	12.5% - 33.33%
• Office Equipment	12.5%
• Motor Vehicle	12.5%
• Computer Equipment	25%

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

Derecognition

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognised. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

4.3.2 Intangible Assets

The intangible assets include the value of computer software.

Basis of Recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard LKAS 38 on Intangible Assets.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Subsequent Expenditure

Subsequent expenditure on Intangible Asset is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic life, Amortization and Impairment

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible asset.

Amortization

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows;

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Year ended 31 March 2017

Asset Category	Useful life
• Computer software	10 Years

The residual value of the intangible asset is zero.

The unamortised balances of Intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised in profit or loss to the extent that they are no longer probable of being recovered from the expected future benefits.

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset, Calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

4.3.3 Impairment of Non-Financial Assets

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

4.4 Finance and Operating Lease

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases. When the Company is a lessor under finance leases the amounts due under the leases, after deduction of unearned charges, are included in 'Lease rentals receivables and stock out on hire. The finance income receivable is recognised in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the company is a lessee under finance leases, the leased assets are capitalised and included in 'Property, plant and equipment' and the corresponding liability to the lessor is included in 'Due to Banks'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Net interest income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Company includes the assets subject to operating leases in 'Property, plant and equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. When the Company is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'General and administrative expenses' and 'other operating income', respectively.

4.5 Taxation

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in the Statement of Comprehensive Income.

4.5.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the relevant tax legislation.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

4.5.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

4.5.3 Value Added Tax (VAT) on Financial Services

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments thereto. The base for the computation of Value Added Tax on Financial Services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rate.

4.5.4 Economic Service Charge (ESC)

As per provisions of the Economic Service Charge (ESC) Act No. 13 of 2006 and subsequent amendments thereto, ESC is payable on aggregate turnover of the Company at 0.5% and is deductible from income tax payable.. Unclaimed ESC, if any, can be carried forward and set-off against the income tax payable in the three subsequent years.

4.5.5 Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act, No 9 of 2009 and subsequent amendments thereto with effect from 01st January 2014. NBT on financial services is calculated as 2% of the value addition used for the purpose of VAT on Financial Services.

4.6 Financial Liabilities**Initial recognition and measurement**

Financial instruments issued by the Company that are not designated as fair value through profit or loss, are classified as other financial liabilities, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset for a fixed number of own equity shares.

The Company recognizes financial liabilities in the Statement of Financial Position when the Company becomes a party to the contractual provisions of the financial liability.

After initial measurement, other financial liabilities are subsequently measured at amortized cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

Derecognition of Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

Other Financial Liabilities

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Deborrowed and other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

Borrowings

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments.

After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.7 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

4.8 Retirement Benefit Obligations**(i) Defined Benefit Plan – Gratuity**

The Company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit Method (PUC) as required by **LKAS 19, Employee Benefits**.

The item is stated under Defined Benefit Liability in the Statement of financial position.

Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise.

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

(ii) Defined Contribution Plan

The Company also operates a defined contribution plan. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability.

The Company contributes to the following Schemes:

- **Employees' Provident Fund**

The Company and employees contribute 12% and 8% respectively of the employee's monthly gross salary (excluding overtime) to the Provident Fund.

- **Employees' Trust Fund**

The Company contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

4.9 Recognition of Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

4.9.1 Interest Income and Interest Expense

For all financial instruments measured at amortised cost, interest bearing financial assets classified as available for sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the Effective Interest Rate.

Effective Interest Rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the Effective Interest Rate, but not future credit losses. The carrying amount of the financial asset or financial liability is adjusted if the company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original Effective Interest Rate and the change in carrying amount is recorded as 'Interest and similar income' for financial assets or 'Interest and similar expense' for financial liabilities. However, for a reclassified financial asset for which the Company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the Effective Interest Rate from the date of the change in estimate.

When the carrying amount of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

4.9.2 Fee and Commission Income

The company earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

4.9.3 Fee income earned from services that are provided over a certain period of time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include Credit related fees & commission, Service charge, Transfer Fees and other fees income. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the Effective Interest Rate on the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight line basis.

4.9.4 Dividend Income

Dividend income is recognised when the right to receive the payment is established.

4.9.5 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

4.9.6 Personnel Expenses

Personnel expenses include salaries and bonuses, terminal benefits and other staff related expenses. The provision for bonuses is recognised when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation.

4.9.7 Other Operating Expenses

Other operating expenses are recognized in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income in arriving at the profit of the year.

4.9.8 Dividends on Ordinary Shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

4.10 Segment Reporting

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments).

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

4.11 Regulatory Provisions**(a) Statutory Reserve Fund**

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

(b) Deposit Insurance and Liquidity Support Scheme

In terms of the Finance Company's Act Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27 September 2010 and subsequent amendments there to all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32E of the Monetary Law Act with effect from 1 October 2010. The said scheme was renamed as the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" as per the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulation No 1 of 2013.

Deposits to be insured include demand, time and savings deposit liabilities and exclude the following;

- a) Deposit liabilities to member institutions
- b) Deposit liabilities to Government of Sri Lanka
- c) Deposit liabilities to Directors, key management personnel and other related parties as defined in Banking Act Direction No 11 of 2007 on Corporate Governance of Licensed Commercial Banks
- d) Deposit liabilities held as collateral against any accommodation granted
- e) Deposit liabilities falling within the meaning of abandoned property in terms of the Banking Act and dormant deposits in terms of the Finance Companies Act funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.10% on eligible deposit liabilities if the Bank maintains a capital adequacy ratio of 14% or above as at the end of the immediately preceding financial year and a premium of 0.125% on eligible deposit liabilities for all other Licensed Commercial Banks calculated on the total amount of eligible deposits as at the end of the quarter within a period of 15 days from the end of the quarter.

(c) Crop Insurance Levy

In terms Section 15 of the Finance Act No 12 of 2013 all institutions under the purview of Banking Act No 30 of 1988, Finance Companies Act No 78 of 1988 and Regulation of Insurance Industry Act No 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund Board effective from 01 April 2013.

4.12 STANDARDS ISSUED BUT NOT YET EFFECTIVE

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 March 2017 reporting periods. None of those have been early adopted by the Company.

SLFRS 9: Financial Instruments

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

SLFRS 15: Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

SLFRS 16: Leases

SLFRS 16 specifies how an entity will recognise, measure, present and disclose leases. The standard provides a single lessee accounting model requiring lessees recognise assets and liabilities for all leases unless the term is 12 months or less or the underlying asset has a lower value. The Lessors continue to classify leases as operating or finance as SLFRS 16's approach for lessor accounting substantially unchanged from its predecessor.

SLFRS 16 is effective for financial reporting periods beginning on or after 1st January 2019, with early adoption permitted, provided the new Revenue standard, SLFRS 15 Revenue from Contracts with Customers has been applied, or is applied at the same date as SLFRS 16.

With respect to the above the Company has obtained advice from external consultants regarding the possible effects on the Financial Statement. Currently the Company is in the process engaging an external consultant to assist in the implementation of above standards. Pending the completion of the detailed impact analysis, possible impact from SLFRS 9, SLFRS 15 and SLFRS 16 is not reasonably estimable as of the reporting date.

4.13 AMMENDMENTS TO EXISTING STANDARDS NOT YET EFFECTIVE

LKAS 7: Disclosure Initiative - Amendments to LKAS 7

The amendments to LKAS 7: Statement of Cash Flows are a part of the CASL's Disclosure Initiative and require an entity to provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non cash changes. On initial application of the amendment, entities are not required to provide comparative information for preceding periods.

These amendments are effective for annual periods beginning on or after 1st January 2017, with early application permitted. Application of amendments will result in additional disclosure to be provided by the Company.

LKAS 12: Recognition of Deferred Tax Assets for Unrealised Losses - Amendments to LKAS 12

The amendments clarify that an entity needs to consider whether tax law restricts the sources of taxable profits against which it may make deductions on the reversal of those deductible temporary differences. Furthermore, the amendments provide guidance on how an entity should determine future taxable profits and explain the circumstances in which taxable profit may include the recovery of some assets for more than their carrying amount.

Entities are required to apply the amendments retrospectively. However, on initial application of the amendments, the change in the opening equity of the earliest comparative period may be recognised in opening retained earnings or in another component of equity, as appropriate, without allocating the change between opening retained earnings and other components of equity. Entities applying this relief must disclose that fact.

The above amendments are effective for annual periods beginning on or after 1st January 2017 with early application permitted. If an entity applies the amendments for an earlier period, it must disclose that fact. These amendments are not expected to have significant impact on the Company.

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Year ended 31 March 2017

5. INCOME

	2017 Rs.	2016 Rs.
Interest Income	1,494,673,696	1,189,278,894
Fee & Commission Income	104,114,176	111,586,810
Net Gain/(Loss) from Trading	948,394	(582,293)
Other Operating Income	20,770,114	16,949,952
	<u>1,620,506,380</u>	<u>1,317,233,363</u>

5.1 Interest Income

Loans and Advances	453,946,296	130,926,781
Lease Rentals Receivable & Stock out on hire	924,623,165	989,663,807
Financial Investments - Held to Maturity & Repurchase Agreements	52,571,244	44,223,302
Financial Investments -Debt Securities	-	4,962,391
Other Financial Assets	11,566,438	2,818,437
Placement with Banks	51,966,553	16,684,176
Total Interest Income	<u>1,494,673,696</u>	<u>1,189,278,894</u>

Interest income on Loans and Advances and Lease Rentals Receivable & Stock out on hire includes interest income accrued on impaired Financial Assets amounting to Rs.14,695,267/- (2015/2016 -Rs.11,047,846/-)

5.2 Interest Expenses

Due to Banks	17,909,634	8,348,442
Due to Customers	605,501,131	471,613,582
Debt Instruments Issued and Other Borrowed Funds	228,996	1,259,479
Total Interest Expenses	<u>623,639,761</u>	<u>481,221,503</u>

Notional Tax Credit for Withholding Tax on Government Securities on Secondary Market Transactions

The Inland Revenue Act No.10 of 2007, provided that a company which derives interest income from the secondary market transactions in Government Securities (on or after April 1, 2002) would be entitled to a notional tax credit (being one ninth of the net interest income) provided such interest income forms part of the statutory income of the Company for that year of assessment.

Accordingly the net interest income earned from the secondary market transactions in Government Securities for the year, has been grossed up in the Financial Statement & the resulting notional Tax credit amounts to Rs.5,257,125/- (2016 - Rs.4,422,331/-)

6. NET FEE AND COMMISSION INCOME

	2017 Rs.	2016 Rs.
6.1 Fee and Commission Income		
Credit Related Fees and Commissions	16,584,089	12,266,379
Service Charge	82,777,943	93,190,829
Transfer Fees	4,089,167	5,496,192
Other Fees	662,977	633,410
Total Fee and Commission Income	<u>104,114,176</u>	<u>111,586,810</u>
6.2 Fee and Commission Expenses		
Brokerage Fees	84,747,252	76,888,915
Total Fee and Commission Expenses	<u>84,747,252</u>	<u>76,888,915</u>
6.3 Net Fee and Commission Income	<u>19,366,924</u>	<u>34,697,895</u>

7. NET GAIN/(LOSS) FROM TRADING

	2017 Rs.	2016 Rs.
Dividend Income from Financial Investments - Held for Trading	274,227	245,369
Appreciation/ (Depreciation) in Market Value of Financial Investments - Held for Trading	674,167	(827,662)
	<u>948,394</u>	<u>(582,293)</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

8. OTHER OPERATING INCOME	2017	2016
	Rs.	Rs.
Income from Sale of Available - for-Sale Financial Investments	2,142,786	8,924,199
Profit/(loss) on disposal of Property & Equipment	-	(19,829)
Bad Debt Recoveries	9,077,411	1,550,864
Rent Income	3,292,892	2,833,650
Others	6,257,025	3,661,068
Total Other Operating Income	20,770,114	16,949,952
9. IMPAIREMENT CHARGES/ (REVERSAL) FOR LOANS AND OTHER LOSSES	2017	2016
9.1 Individual	Rs.	Rs.
Loans and Advances	10,742,981	(511,617)
Lease Rentals Receivable & Stock Out on Hire	(15,785,057)	38,513,173
Other Debtors	26,483,661	(2,174,994)
	21,441,585	35,826,562
9.2 Collective		
Loans and Advances	49,700,823	1,755,479
Lease Rentals Receivable & Stock Out on Hire	15,912,220	107,376,648
Other Debtors	102,314,765	80,881,428
	167,927,808	190,013,555
Total Impairment charges/ (Reversal) for Loans and Advances	189,369,393	225,840,117
10. PERSONNEL COSTS	2017	2016
	Rs.	Rs.
Salaries and Bonus	159,818,313	122,728,343
Employer's Contribution to EPF	16,943,581	12,690,484
Employer's Contribution to ETF	4,248,395	3,172,621
Gratuity Charge/ (Reversals) for the Year (Note 34.1)	4,466,536	3,788,956
Other Allowances & Staff Related Expenses	31,611,834	24,536,245
	217,088,659	166,916,649
11. DEPRECIATION & AMORTIZATION	2017	2016
	Rs.	Rs.
Depreciation of Property Plant & Equipment	16,146,846	11,416,894
Amortization of intangible assets	2,513,703	1,491,717
	18,660,549	12,908,611
12. OTHER OPERATING EXPENSES	2017	2016
	Rs.	Rs.
Directors' Emoluments	10,900,600	9,945,000
Auditors Remuneration		
- Audit - Current year provision	876,500	1,022,800
- (Over)/Under Provision	-	(174,205)
-Non Audit	300,000	250,000
Professional & Legal Expenses	6,486,716	8,556,393
Office Administration & Establishment Expenses	130,593,126	102,575,230
Advertising & Business Promotion Expenses	35,374,417	35,087,952
Deposit Insurance premium	7,228,136	6,162,461
Others	42,516,180	29,362,582
	234,275,675	192,788,213

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

13. TAXATION**13.1 The major components of income tax expense for the years ended 31 March are as follows.**

	2017 Rs.	2016 Rs.
(A) Statement of Profit or Loss		
Current Income Tax		
Income Tax for the year	61,211,726	83,197,598
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 28)	2,630,462	(42,841,368)
	<u>63,842,188</u>	<u>40,356,230</u>
(B) Other Comprehensive Income		
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 28)	988,751	(132,018)
	<u>988,751</u>	<u>(132,018)</u>
(C) Total Tax Expense for the year	<u><u>64,830,939</u></u>	<u><u>40,224,212</u></u>

13.2 Reconciliation of Accounting Profit and Taxable Income

A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the Years ended 31 March 2017 and 2016 is as follows.

	2017 Rs.	2016 Rs.
Accounting Profit Before Income Taxation	197,406,328	130,480,894
Adjustments		
Capital Portion of Leasing Rental Due	1,469,478,702	1,464,427,833
Non-taxable Income/ Losses	(3,091,181)	(11,832,579)
Disallowable Expenses	247,852,138	157,486,281
Allowable Expenses	(1,693,032,679)	(1,443,428,152)
Total Statutory Income	<u>218,613,308</u>	<u>297,134,277</u>
Taxable Income	218,613,308	297,134,277
Income Tax Rate (%)	<u>28%</u>	<u>28%</u>
Income Tax	61,211,726	83,197,598
Deferred Taxation Charge/(Reversal) (Note 28)	2,630,462	(42,841,368)
Total Tax Expense (Note 13.1 (A))	<u><u>63,842,188</u></u>	<u><u>40,356,230</u></u>
Effective tax rate	32%	31%

14. BASIC EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

For the year ended 31 st March	2017	2016
Profit/ (Loss) attributable to Ordinary Shareholders for Basic Earnings Per Share (Rs.)	133,564,140	90,124,664
Weighted Average Number of Ordinary Shares prior to the right issue and private placement	37,000,000	37,000,000
Adjusted to right issue and private placement	<u>11,591,203</u>	<u>2,354,545</u>
Weighted Average Number of Ordinary Shares Adjusted to the effects of the right issue and private placement	48,591,203	39,354,545
Basic Earnings per ordinary share (Rs.)	<u><u>2.75</u></u>	<u><u>2.29</u></u>

15. CASH AND BANK BALANCES

	2017 Rs.	2016 Rs.
Cash in Hand	42,315,367	5,836,617
Balances with Banks	<u>334,653,437</u>	<u>67,548,678</u>
	<u><u>376,968,804</u></u>	<u><u>73,385,295</u></u>

15.1 Cash and Cash Equivalents in the Cash Flow Statement

	2017 Rs.	2016 Rs.
Cash and Bank Balances	376,968,804	73,385,295
Bank Overdrafts	(12,350,088)	(21,753,939)
Treasury Bills and Repurchase Agreements	250,809,890	630,158,527
Placement with Banks	<u>384,048,036</u>	<u>224,049,147</u>
Total Cash and Cash Equivalents for the purpose of Cash Flow Statements	<u><u>999,476,642</u></u>	<u><u>905,839,030</u></u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

16. PLACEMENT WITH BANKS

	2017 Rs.	2016 Rs.
Fixed Deposit Investments	384,100,772	224,098,165
	<u>384,100,772</u>	<u>224,098,165</u>

Fixed Deposit Investments include Investments amounting to Rs.34,000,000/- that have been Pledged for facilities obtained from Banks.

17. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT

	2017 Rs.	2016 Rs.
Repurchased Agreements	250,809,890	630,158,527
	<u>250,809,890</u>	<u>630,158,527</u>

18. FINANCIAL ASSETS- HELD FOR TRADING

	2017 Rs.	2016 Rs.
Quoted equities (Note 18.1)	7,624,408	6,915,241
	<u>7,624,408</u>	<u>6,915,241</u>

18.1 DEALING SECURITIES

	No of Shares	2017 Cost	Market value	No of Shares	2016 Cost	Market value
Quoted Shares						
Plantations						
Hotels & Travels						
Mahaweli Reach Hotels PLC	9,400	365,104	178,600	9,400	365,104	212,440
Renuka City Hotel PLC	1,300	394,136	382,850	1,300	394,136	421,720
	<u>10,700</u>	<u>759,240</u>	<u>561,450</u>	<u>10,700</u>	<u>759,240</u>	<u>634,160</u>
Diversified Holdings						
John Keells Holdings PLC	2,720	490,343	375,088	2,333	490,343	345,284
Aitken Spence PLC	-	-	-	48	-	446
	<u>2,720</u>	<u>490,343</u>	<u>375,088</u>	<u>2,381</u>	<u>490,343</u>	<u>345,730</u>
Power & Energy						
Lanka IOC PLC	15,000	649,191	435,000	15,000	649,191	487,500
	<u>15,000</u>	<u>649,191</u>	<u>435,000</u>	<u>15,000</u>	<u>649,191</u>	<u>487,500</u>
Banking & Finance						
Sampath Bank PLC	4,361	1,036,175	1,129,499	4,037	1,036,175	912,362
Seylan Bank PLC - Voting	1,000	102,131	87,000	1,000	102,131	86,000
Seylan Bank PLC - Non Voting	12,000	673,660	656,400	12,000	673,660	756,000
Hatton National Bank PLC	1,525	248,806	302,597	1,500	248,806	270,650
First Capital Holdings PLC	1,952	78,757	39,235	1,952	78,757	37,283
Central Finance Company PLC	2,067	239,149	178,175	1,000	239,149	210,000
DFCC Bank	1,000	213,262	114,000	1,000	213,262	137,000
Nations Trust Bank PLC	2,000	183,027	148,000	2,000	183,027	148,400
Union Bank PLC	7,000	189,600	99,400	7,000	189,600	116,200
Commercial Bank Of Ceylon PLC	514	57,740	52,993	506	57,740	57,178
Pan Asia Banking Corporation PLC	7,500	159,486	115,500	5,000	124,486	115,000
	<u>40,919</u>	<u>3,181,793</u>	<u>2,922,800</u>	<u>36,995</u>	<u>3,146,793</u>	<u>2,846,073</u>
Telecommunication						
Sri Lanka Telecom PLC	4,190	239,386	139,527	4,190	239,386	162,572
	<u>4,190</u>	<u>239,386</u>	<u>139,527</u>	<u>4,190</u>	<u>239,386</u>	<u>162,572</u>
Manufacturing						
Singer Sri Lanka	500	60,672	69,950	500	60,672	58,850
Tokyo Cement Company (Lanka) PLC - Non Voting	16,375	640,367	867,875	16,375	640,367	528,913
Tokyo Cement Company (Lanka) PLC - Voting	10,000	444,928	610,000	10,000	444,928	370,000
	<u>26,875</u>	<u>1,145,967</u>	<u>1,547,825</u>	<u>26,875</u>	<u>1,145,967</u>	<u>957,763</u>
Hospitals						
Lanka Hospital Corporation PLC	3,000	157,343	184,500	3,000	157,343	153,000
	<u>3,000</u>	<u>157,343</u>	<u>184,500</u>	<u>3,000</u>	<u>157,343</u>	<u>153,000</u>
Investment						
Ceylon Investment PLC	1,009	108,300	40,360	1,009	108,300	53,174
Access Engineering Ltd	4,000	150,264	95,200	4,000	150,264	83,200
Ceylon Guardian Investment Trust PLC	505	102,687	45,501	505	102,687	60,449
	<u>5,514</u>	<u>361,251</u>	<u>181,061</u>	<u>5,514</u>	<u>361,251</u>	<u>196,823</u>
Automobiles						
United Motors Lanka PLC	500	53,088	39,000	500	53,088	41,500
	<u>500</u>	<u>53,088</u>	<u>39,000</u>	<u>500</u>	<u>53,088</u>	<u>41,500</u>
Beverage Food & Tobacco						
Stores Supplies						
Hemas Holdings PLC	2,333	117,502	253,597	2,333	117,502	188,040
Piramal Glass Ceylon Plc	100,000	465,152	560,000	100,000	465,152	510,000
	<u>102,333</u>	<u>582,654</u>	<u>813,597</u>	<u>102,333</u>	<u>582,654</u>	<u>698,040</u>
Insurance						
Peoples' Insurance PLC	23,200	348,000	424,560	23,200	348,000	392,080
	<u>23,200</u>	<u>348,000</u>	<u>424,560</u>	<u>23,200</u>	<u>348,000</u>	<u>392,080</u>
Total	<u>234,951</u>	<u>7,968,257</u>	<u>7,624,408</u>	<u>230,688</u>	<u>7,933,257</u>	<u>6,915,241</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

19. LOANS AND ADVANCES

	2017	2016
	Rs.	Rs.
Real Estate Loans	3,313,673	6,407,673
Mortgage Loans	405,840,872	281,054,017
Vehicle Loans	-	2,729,872
Personnel Loans	113,901,642	118,681,734
Loans against Fixed Deposits	164,754,856	113,678,128
Staff Loans	28,408,286	20,075,782
Revolving Loans	170,837,388	141,365,811
Business Loans	393,506,492	71,561,755
Other Loans	967,502,971	494,265,499
	<u>2,248,066,180</u>	<u>1,249,820,271</u>
Less : Allowance for Impairment Losses (Note 19.1)	<u>(102,390,149)</u>	<u>(61,273,426)</u>
Net Loans and Advances	<u><u>2,145,676,031</u></u>	<u><u>1,188,546,845</u></u>

19.1 Allowance for Impairment Losses

	2017	2016
	Rs.	Rs.
As at 01 April	61,273,426	61,803,888
Charge / (Reversal) for the year	60,443,804	1,243,861
Amounts written off	<u>(19,327,081)</u>	<u>(1,774,323)</u>
As at 31 March	<u>102,390,149</u>	<u>61,273,426</u>
Individual Impairment	18,144,449	11,119,767
Collective Impairment	<u>84,245,700</u>	<u>50,153,659</u>
	<u>102,390,149</u>	<u>61,273,426</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>61,937,004</u>	<u>59,953,056</u>

20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2017	2016
	Rs.	Rs.
Gross rentals receivables		
- Lease Rentals	5,050,089,722	4,841,637,384
- Amounts Receivable from Hirers	<u>78,079,436</u>	<u>212,885,003</u>
	<u>5,128,169,158</u>	<u>5,054,522,387</u>
Less: Unearned Income	<u>(1,192,323,653)</u>	<u>(1,175,976,821)</u>
Net rentals receivables	<u>3,935,845,505</u>	<u>3,878,545,566</u>
Less : Rental Received In Advance	(16,512)	(20,500)
Less : Suspended VAT	<u>(7,171,161)</u>	<u>(5,492,338)</u>
	<u>3,928,657,832</u>	<u>3,873,032,728</u>
Less : Allowance for Impairment Losses (Note 20.1)	<u>(248,692,186)</u>	<u>(276,780,949)</u>
Total net rentals receivable (Note 20.2, 20.3)	<u><u>3,679,965,646</u></u>	<u><u>3,596,251,779</u></u>

Lease & hirers receivables include receivables amounting to Rs. 750,144,331/- that have been Pledged for facilities obtained from Banks.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)**20.1 Allowance for Impairment Losses**

	2017	2016
	Rs.	Rs.
As at 01 April	276,780,949	195,612,684
Charge / (Reversal) for the year	127,163	145,889,821
Amounts written off	(28,215,926)	(64,721,556)
As at 31 March	<u>248,692,186</u>	<u>276,780,949</u>
Individual Impairment	17,888,120	57,988,976
Collective Impairment	<u>230,804,066</u>	<u>218,791,973</u>
	<u>248,692,186</u>	<u>276,780,949</u>
Gross amount of lease and hire purchase rental receivables individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>52,440,345</u>	<u>97,095,662</u>

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
20.2 As at 31st March 2017				
Gross rentals receivables				
- Lease Rentals	2,805,275,780	2,244,813,942	-	5,050,089,722
- Amounts Receivable from Hirers	<u>65,384,569</u>	<u>12,694,867</u>	-	<u>78,079,436</u>
	2,870,660,349	2,257,508,809	-	5,128,169,158
Less: Unearned Income	<u>-730,522,043</u>	<u>-461,801,610</u>	-	<u>-1,192,323,653</u>
Net rentals receivables	<u>2,140,138,306</u>	<u>1,795,707,199</u>	<u>-</u>	<u>3,935,845,505</u>
Less : Rental Received In Advance				(16,512)
Less : Suspended VAT				<u>(7,171,161)</u>
				3,928,657,832
Less : Allowance for Impairment Losses				<u>(248,692,186)</u>
Total net rentals receivable				<u>3,679,965,646</u>

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
20.3 As at 31st March 2016				
Gross rentals receivables				
- Lease Rentals	2,608,328,913	2,233,296,837	11,634	4,841,637,384
- Amounts Receivable from Hirers	<u>165,402,739</u>	<u>47,482,264</u>	-	<u>212,885,003</u>
	2,773,731,652	2,280,779,101	11,634	5,054,522,387
Less: Unearned Income	<u>-767,466,097</u>	<u>-408,510,589</u>	(135)	<u>-1,175,976,821</u>
Net rentals receivables	<u>2,006,265,555</u>	<u>1,872,268,512</u>	<u>11,499</u>	<u>3,878,545,566</u>
Less : Rental Received In Advance				(20,500)
Less : Suspended VAT				<u>(5,492,338)</u>
				3,873,032,728
Less : Allowance for Impairment Losses				<u>(276,780,949)</u>
Total net rentals receivable				<u>3,596,251,779</u>

21. FINANCIAL INVESTMENTS - AVAILABLE FOR SALE

	2017	2016
	Rs.	Rs.
Credit Information Bureau-Unquoted Equities *	<u>80,400</u>	<u>80,400</u>
	<u>80,400</u>	<u>80,400</u>

* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

22. FINANCIAL INVESTMENTS - HELD TO MATURITY	2017	2016
	Rs.	Rs.
Government of Sri Lanka Treasury Bills	216,321,780	-
Government of Sri Lanka Treasury Bonds	22,251,183	21,669,813
	<u>238,572,963</u>	<u>21,669,813</u>
23. OTHER FINANCIAL ASSETS	2017	2016
	Rs.	Rs.
Other Receivables	150,009,839	207,612,266
Deposit	13,682,034	11,132,799
Due From Related Parties	21,011,870	22,714,432
	<u>184,703,743</u>	<u>241,459,497</u>
Less : Allowance for Impairment Losses (Note 23.1)	<u>(76,196,266)</u>	<u>(167,657,318)</u>
	<u>108,507,477</u>	<u>73,802,179</u>
23.1 Allowance for Impairment Losses		
Balance at the Beginning	167,657,318	102,627,971
Charge / (Reversal) for the year	128,798,427	78,706,435
Amounts written off	(220,259,479)	(13,677,088)
Balance at the end of the year	<u>76,196,266</u>	<u>167,657,318</u>
Individual Impairment	25,349,764	3,601,478
Collective Impairment	50,846,502	164,055,840
	<u>76,196,266</u>	<u>167,657,318</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>27,904,052</u>	<u>16,487,160</u>
24. REAL ESTATE STOCK	2017	2016
	Rs.	Rs.
Real Estate Stocks	66,050,693	83,066,481
	<u>66,050,693</u>	<u>83,066,481</u>
25. OTHER NON FINANCIAL ASSETS	2017	2016
	Rs.	Rs.
Advances	15,831,344	75,030,292
Pre-paid Staff Cost	9,710,210	6,118,365
Other Receivables	212,630	212,630
Pre Paid Rent Deposit	5,376,261	6,073,901
Pre-Paid Expenses	9,594,619	10,459,636
	<u>40,725,064</u>	<u>97,894,824</u>
26. INTANGIBLE ASSETS	Computer Software	
	2017	2016
	Rs.	Rs.
Cost		
Cost as at 01st April	44,381,555	37,522,025
Additions	9,585,849	6,859,530
As at 31 March	<u>53,967,404</u>	<u>44,381,555</u>
Amortisation & Impairment:		
As at 1 April	28,772,659	27,280,942
Amortisation Charge for the year	2,513,703	1,491,717
As at 31 March	<u>31,286,362</u>	<u>28,772,659</u>
Net book value:		
As at 31 March	<u>22,681,042</u>	<u>15,608,896</u>

Nature and Amortization Method

Intangible Assets represent acquisition of computer software from third parties. These software are amortized over the estimated useful life of 10 years on a straight line basis.

During the financial year, the Company acquired intangible assets (Computer Software) to the aggregate value of Rs.9,585,849 (2015/2016 - Rs.6,859,530).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

27. PROPERTY, PLANT AND EQUIPMENT

27.1 Gross Carrying Amounts	Balance As at 01.04.2016 Rs.	Additions/ Transfers Rs.	Disposals Rs.	Balance As at 31.03.2017 Rs.
Cost				
Freehold Assets				
Land	28,094,075	-	-	28,094,075
Furniture & Fittings	48,009,438	5,139,691	(102,550)	53,046,579
Office Equipment	15,207,614	6,722,892	-	21,930,506
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	31,337,983	14,316,671	-	45,654,654
Total Value of Depreciable Assets	125,974,723	26,179,254	(102,550)	152,051,427
27.2 Depreciation	Balance As at 01.04.2016 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2017 Rs.
Freehold Assets				
Furniture & Fittings	22,671,449	6,773,913	(102,550)	29,342,812
Office Equipment	7,764,418	1,886,557	-	9,650,975
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	16,401,978	7,486,376	-	23,888,354
	50,163,458	16,146,846	(102,550)	66,207,754
27.3 Net Book Values			2017 Rs.	2016 Rs.
At Cost				
Land			28,094,075	28,094,075
Furniture & Fittings			23,703,767	25,337,989
Office Equipment			12,279,531	7,443,196
Motor Vehicles			-	-
Computer Hardware			21,766,300	14,936,005
Total Carrying Amount of Property, Plant & Equipment			85,843,673	75,811,265
27.4 The useful lives of the assets are estimated as follows;			2017	2016
Furniture & Fittings			3 - 8 Years	3 - 8 Years
Office Equipment			8 Years	8 Years
Motor Vehicles			8 Years	8 Years
Computer Equipment			4 years	4 years

27.5 During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 26,179,255/- (2015/2016- Rs.32,378,791/-)

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

28. DEFERRED TAXATION

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

	Statement of Financial Position		Recognized in Statement of Other Comprehensive Income		Recognized in Statement of Profit or Loss	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Deferred Tax Liability						
Capital Allowances for Tax Purposes						
-Property Plant & Equipment	8,900,867	5,407,824	-	-	3,493,043	1,974,906
-Leased Asset	15,953,999	-	-	-	15,953,999	(21,627,422)
Define Benefit Plan- Other Comprehensive Income	558,540	-	558,540	-	-	-
	<u>25,413,406</u>	<u>5,407,824</u>	<u>558,540</u>	<u>-</u>	<u>19,447,042</u>	<u>(19,652,516)</u>
Deferred Tax Assets						
Capital Allowances for Tax Purposes						
-Leased Asset	-	(31,099,822)	-	-	31,099,822	(31,099,822)
Defined Benefit Plans- Income Statement	(4,797,269)	(3,839,603)	-	-	(957,666)	(998,716)
Define Benefit Plan- Other Comprehensive Income	-	(430,211)	430,211	(132,018)	-	-
Provision for Impairment on Financial Assets	(78,416,461)	(31,457,724)	-	-	(46,958,736)	8,909,686
Brought Forward Tax Losses	-	-	-	-	-	-
	<u>(83,213,730)</u>	<u>(66,827,360)</u>	<u>430,211</u>	<u>(132,018)</u>	<u>(16,816,580)</u>	<u>(23,188,852)</u>
Deferred income tax charge/(reversal)			<u>988,751</u>	<u>(132,018)</u>	<u>2,630,462</u>	<u>(42,841,368)</u>
Net Deferred Tax Liability/ (Asset)	<u>(57,800,324)</u>	<u>(61,419,536)</u>				

29. DUE TO BANKS

	2017 Rs.	2016 Rs.
Bank Overdrafts	12,350,088	21,753,939
Securitised Borrowings and Other Bank Facilities (Note 29.2 (a), 29.2 (b))	201,388,832	25,250,153
Total	<u>213,738,920</u>	<u>47,004,092</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

29. DUE TO BANKS (Contd...)

29.1 Due to Banks	Amount repayable within 1 year Rs.	2017 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2016 Amount repayable after 1 year Rs.	Total Rs.
Securitized Borrowings and Other Bank Facilities	83,333,333	118,055,499	201,388,832	25,250,153	-	25,250,153
	83,333,333	118,055,499	201,388,832	25,250,153	-	25,250,153

29.2 (a) Securitised Borrowings and Other Bank Facilities

	As at 01.04.2016 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2017 Rs.	Period	Security
Direct Bank Borrowings								
Term Loans								
Term Loan Bank of Ceylon	492,203	-	-	486,112	6,091	-	48 Months	Lease & Hire
Term Loan 01 Union Bank of Colombo PLC	15,757,950	-	324,377	15,757,950	324,377	-	48 Months	Purchase
Term Loan Sampath Bank PLC	9,000,000	-	453,670	9,000,000	453,670	-	50 Months	Portfolio
Term Loan 02 Union Bank of Colombo PLC	-	250,000,000	16,698,382	48,611,111	16,698,439	201,388,832	36 Months	Lease Portfolio
	25,250,153	250,000,000	17,476,429	73,855,173	17,482,578	201,388,832		

29.2 (b) Securitised Borrowings and Other Bank Facilities

	As at 01.04.2015 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2016 Rs.	Period	Security
Direct Bank Borrowings								
Term Loans								
Term Loan Bank of Ceylon	18,875,594	-	1,112,110	18,333,044	1,162,457	492,203	48 Months	Lease & Hire
Term Loan Union Bank of Colombo PLC	70,219,721	-	5,037,241	54,461,771	5,037,241	15,757,950	48 Months	Purchase
Term Loan Sampath Bank PLC	32,798,000	-	2,046,839	23,798,000	2,046,839	9,000,000	50 Months	Portfolio
	121,893,315	-	8,196,190	96,592,815	8,246,537	25,250,153		

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

30. DUE TO CUSTOMERS		2017 Rs.	2016 Rs.
Fixed Deposits		5,527,707,069	4,505,511,938
Savings Deposits		22,845,476	33,850,283
		<u>5,550,552,545</u>	<u>4,539,362,221</u>
31. DEBT INSTRUMENTS ISSUED AND OTHER BORROWED FUNDS		2017 Rs.	2016 Rs.
Commercial Papers		-	31,110,631
		<u>-</u>	<u>31,110,631</u>
32. OTHER FINANCIAL LIABILITIES		2017 Rs.	2016 Rs.
Trade Payables - Related Parties (32.1)		218,443,576	136,038,658
Non Trade Payables - Related Parties (32.2)		-	407,755
Trade Payables - Other Parties		32,953,866	485,136,258
Accrued Expenses		231,252,099	215,442,840
		<u>482,649,541</u>	<u>837,025,511</u>
32.1 Trade Payables to Related Parties	Relationship		
Abans PLC	Ultimate Parent Company	1,590,488	2,121,183
Abans Auto (Pvt)Ltd	Affiliate Company	216,853,088	133,917,475
		<u>218,443,576</u>	<u>136,038,658</u>
32.2 Non Trade Payables to Related Parties	Relationship		
Abans Retail (Pvt) Ltd	Affiliate Company	-	407,755
		<u>-</u>	<u>407,755</u>
33. OTHER NON FINANCIAL LIABILITIES		2017 Rs.	2016 Rs.
VAT on Financial Services		4,547,099	1,939,314
VAT Payable		1,785,335	4,604,804
Others		7,529,940	1,542,403
		<u>13,862,374</u>	<u>8,086,521</u>
34. RETIREMENT BENEFIT OBLIGATIONS		2017 Rs.	2016 Rs.
Retirement Benefit Obligations - Gratuity			
Balance at the beginning of the year		15,249,338	11,474,701
Current Service Cost		2,754,035	2,833,113
Payments made during the year		(1,046,300)	485,813
Interest Charged/(Reversed) for the year		1,712,501	955,843
(Gain)/loss arising from changes in the assumption		(3,531,254)	471,494
Balance at the end of the year		<u>15,138,320</u>	<u>15,249,338</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

34. RETIREMENT BENEFIT OBLIGATIONS (Contd...)	2017	2016
	Rs.	Rs.
34.1 Expenses on Defined Benefit Plan		
Current Service Cost for the year	2,754,035	2,833,113
Interest Charge for the year	1,712,501	955,843
	<u>4,466,536</u>	<u>3,788,956</u>
Amount Reccognized in the Other Comprehensive Income		
(Gain)/Loss arising from changes in the assumption (Note 34.2)	- 3,531,254	471,493
	<u>(3,531,254)</u>	<u>471,493</u>
34.2 (Gain) / Loss arising from the changes in the assumption		
Due to change in Demographic Assumptions	30,566	46,728
Due to change in Financial Assumptions	(2,222,119)	(808,811)
Experience Adjustment	(1,339,701)	1,233,576
	<u>(3,531,254)</u>	<u>471,493</u>
34.3 Actuarial valuation of Retiring Gratuity Obligation as at 31 March 2017 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'.		
34.4 Assumptions	2017	2016
Discount Rate	12.50%	11.23%
Salary Increment Rate	8.50%	10.80%
Staff Turnover	17.00%	19.00%
Retirement Age	60 Years	60 Years

Assumptions regarding future mortality are based on 67/70 Mortality Table and issued by the Institute of Actuaries, London.

34.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement as at 31 March 2017. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

Increase/(Decrease) in Discount rate	Increase/(Decrease) in Salary Increment Rate	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation
1%	-	586,660	(586,660)
-1%	-	(644,288)	644,288
-	1%	(734,610)	734,610
-	-1%	678,756	(678,756)

34.6 Maturity Profile of the Defined Benefit Obligation Plan

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

	2017	2016
	Years	Years
Weighted Average Duration of the Defined Benefit Obligation	4.54	4.87
Average Time to Benefit Payout	5.35	4.75

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

34. RETIREMENT BENEFIT OBLIGATIONS (Contd...)**34.7 Distribution of Defined Benefit Obligation Over Future Lifetime**

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

	2017	2016
	Rs.	Rs.
Less than 1 year	3,944,830	3,376,487
Between 1-5 years	6,416,140	6,258,497
Between 5-10years	2,793,136	3,433,626
Over 10 years	1,984,214	2,180,728
	<u>15,138,320</u>	<u>15,249,338</u>

35. STATED CAPITAL

	2017		2016	
35.1 Issued and Fully Paid-Ordinary shares	No. of Shares	Rs.	No. of Shares	Rs.
At the beginning of the year	37,000,000	382,373,630	37,000,000	382,373,630
<u>Issued during the year</u>				
-Right Issue	7,400,000	185,000,000	-	-
-Private Placement	11,067,978	276,699,450	-	-
At the end of the year	<u>55,467,978</u>	<u>844,073,080</u>	<u>37,000,000</u>	<u>382,373,630</u>

During the year, the authorised share capital was increased by Rs.461,699,450 by the issue of 18,467,978 ordinary shares by of Rs.25/= each by way of Right issue and private placement.

35.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

36. RETAINED EARNINGS AND OTHER RESERVES

36.1 Retained Earnings	2017	2016
	Rs.	Rs.
As at 01 April	169,597,476	97,837,286
Profit /(Loss) for the Year	133,564,140	90,124,664
Other Comprehensive Income net of tax	2,542,503	(339,475)
Transfers to Statutory Reserve Fund	(26,712,829)	(18,025,000)
Direct Cost on Right Issue	(785,447)	-
Direct Cost on Private Placement	(1,279,995)	-
As at 31 March	<u>276,925,848</u>	<u>169,597,476</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

36.2 Other Reserves	Statutory Reserve	Total
	Rs.	Rs.
As at 01 April 2016	62,554,000	62,554,000
Transfers to/(from) during the year	26,712,829	26,712,829
As at 31 March 2017	<u>89,266,829</u>	<u>89,266,829</u>

36.2.1 Statutory Reserve Fund

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

37. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

37.1 As at 31st March 2017	HFT at Fair Value Rs.	HTM at Amortised Cost Rs.	L&R at Amortised Cost Rs.	AFS at Fair Value Rs.	Total Rs.
Assets					
Cash and Bank Balances	-	-	376,968,804	-	376,968,804
Placement With Banks	-	-	384,100,772	-	384,100,772
Repurchase Agreements	-	-	250,809,890	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	-	7,624,408
Loans and Advances	-	-	2,145,676,031	-	2,145,676,031
Lease rentals receivable & Stock out on Hire	-	-	3,679,965,646	-	3,679,965,646
Financial Investments - Available for Sale	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	238,572,963	-	-	238,572,963
Other financial assets	-	-	108,507,477	-	108,507,477
Total Financial Assets	7,624,408	238,572,963	6,946,028,620	80,400	7,192,306,391

	OFL at Amortized Cost Rs.	Total Rs.
Liabilities		
Due to Banks	213,738,920	213,738,920
Due to Customers	5,550,552,545	5,550,552,545
Debt Instruments Issued and Other borrowed funds	-	-
Other Financial Liabilities	482,649,541	482,649,541
Total Financial Liabilities	6,246,941,006	6,246,941,006

37.2 As at 31st March 2016	HFT at Fair Value Rs.	HTM at Amortised Cost Rs.	L&R at Amortised Cost Rs.	AFS at Fair Value Rs.	Total Rs.
Assets					
Cash and Bank Balances	-	-	73,385,295	-	73,385,295
Placement With Banks	-	-	224,098,165	-	224,098,165
Repurchase Agreements	-	-	630,158,527	-	630,158,527
Financial Investments - Held for Trading	6,915,241	-	-	-	6,915,241
Financial Investments - Debt Securities	-	-	-	-	-
Loans and Advances	-	-	1,188,546,845	-	1,188,546,845
Lease rentals receivable & Stock out on Hire	-	-	3,596,251,779	-	3,596,251,779
Financial Investments - Available for Sale	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	21,669,813	-	-	21,669,813
Other financial assets	-	-	73,802,179	-	73,802,179
Total Financial Assets	6,915,241	21,669,813	5,786,242,790	80,400	5,814,908,244

	OFL at Amortized Cost Rs.	Total Rs.
Liabilities		
Due to Banks	47,004,092	47,004,092
Due to Customers	4,539,362,221	4,539,362,221
Debt Instruments Issued and Other borrowed funds	31,110,631	31,110,631
Other Financial Liabilities	837,025,511	837,025,511
Total Financial Liabilities	5,454,502,455	5,454,502,455

HFT - Held for Trading
 HTM - Held-to-Maturity
 L & R - Loans and Receivables
 AFS - Available for Sale
 OFL - Other Financial Liabilities

38. FAIR VALUE OF FINANCIAL INSTRUMENTS**Financial Instruments Recorded at Fair Value**

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

38.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1 :Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observer able inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

As at 31st March 2017	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted equities	7,624,408	-	-	7,624,408
Financial Investments - Available for Sale				
Unquoted equities	-	-	80,400	80,400
Total Financial Assets	<u>7,624,408</u>	<u>-</u>	<u>80,400</u>	<u>7,704,808</u>
As at 31st March 2016	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted equities	6,915,241	-	-	6,915,241
Financial Investments - Available for Sale				
Unquoted equities	-	-	80,400	80,400
Total Financial Assets	<u>6,915,241</u>	<u>-</u>	<u>80,400</u>	<u>6,995,641</u>

There were no financial liabilities recorded at fair value as at 31 March 2016 & 2017.

There were no transfers between Level 1 and Level 2 during 2016 & 2017.

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38. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)**38.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value**

Set out below is the comparison, by class, of the carrying amounts of fair values of the company's financial instruments that are not carried at fair value in the financial statements. This table does not include the fair values of non-financial assets and non- financial liabilities.

	Carrying Amount Rs.	2017 Fair Value				Carrying Amount Rs.	2016 Fair Value			
		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.
Financial Assets										
Loans and Advances	2,145,676,031	-	1,916,636,928	-	1,916,636,928	1,188,546,845	-	1,180,640,911	-	1,180,640,911
Lease rentals receivable & Stock out on Hire	3,679,965,646	-	3,369,188,748	-	3,369,188,748	3,596,251,779	-	3,633,442,953	-	3,633,442,953
Financial Investments - Held to Maturity	238,572,963	-	236,853,501	-	236,853,501	21,669,813	-	21,230,364	-	21,230,364
	<u>6,064,214,640</u>	<u>-</u>	<u>5,522,679,177</u>	<u>-</u>	<u>5,522,679,177</u>	<u>4,806,468,437</u>	<u>-</u>	<u>4,835,314,228</u>	<u>-</u>	<u>4,835,314,228</u>
Financial Liabilities										
Due to Customers	5,550,552,545	-	5,835,968,390	-	5,835,968,390	4,539,362,221	-	4,544,278,859	-	4,544,278,859
Debt Instruments Issued and Other borrowed funds	-	-	-	-	-	31,110,631	-	31,110,631	-	31,110,631
	<u>5,550,552,545</u>	<u>-</u>	<u>5,835,968,390</u>	<u>-</u>	<u>5,835,968,390</u>	<u>4,570,472,852</u>	<u>-</u>	<u>4,575,389,490</u>	<u>-</u>	<u>4,575,389,490</u>

The following describes the methodologies and assumptions used to determine the fair values for those financial assets & Liabilities which are not already recorded at fair value in the Financial Statements.

Fixed Rate Financial Instruments

Carrying amounts are considered as fair values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

Assets & Liabilities for which Fair Value Approximates Carrying Value

The Following is a list of financial investments whose carrying amount is a reasonable approximation of fair value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

Assets

Cash and Bank Balances
Placement With Banks
Repurchase Agreements
Other Financial assets

Liabilities

Due to Banks
Due to Customers Savings
Debt Instruments Issued and Other borrowed funds
Other Financial Liabilities

Reclassification of financial assets

There have been no reclassifications during 2016 & 2017.

39. RISK MANAGEMENT DISCLOSURES

39.1 Introduction

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

39.2 Risk Management Structure

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 3 of 2008 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee currently consists of 2 Directors; Managing Director and one Non Executive Director. Chief Executive Officer, Chief Operating Officer, Head of Finance / Assistant Accountant, Head of Sales, Head of Recoveries, Head of Branches, Manager – Risk & Compliance, Manager - IT and Manager - Corporate Affairs were also co-opted to the Committee.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

39.3 Risk measurement & Reporting System and Risk Mitigation

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.

39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.4 Credit Risk**

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

39.4.1 Impairment Assessment

For accounting purposes, the Company uses an incurred loss model for the recognition of losses on impaired financial assets. This means that losses can only be recognised when objective evidence of a specific loss event has been observed. Triggering events include the following:

- Significant financial difficulty of the customer
- A breach of contract such as a default of payment
- Where the Company grants the customer a concession due to the customer experiencing financial difficulty
- It becomes probable that the customer will enter bankruptcy or encounter other financial difficulties
- Observable data that suggests that there is a decrease in the estimated future cash flows from the loans

Individually assessed allowances

The Company determines the allowances appropriate for each individually significant Loans and Receivables on an individual basis, including any overdue payments of interests, credit rating down grades, or infringement of the original terms of the contract. Items considered when determining allowance amounts include the sustainability of the counterparty's business plan, its ability to improve performance if it is in a financial difficulty, projected receipts and the expected payout should bankruptcy ensue, the availability of other financial support, the realizable value of collateral and the timing of the expected cash flows. Impairment allowances are evaluated at each reporting date, unless unforeseen circumstances require more careful attention.

Collectively assessed allowances

Allowances are assessed collectively for losses on loans that are not individually significant and for individually significant loans and advances that have been assessed individually and found not to be impaired. Allowances are evaluated separately at each reporting date with each portfolio

The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments.

The collective assessment takes account of data from the loan portfolio (such as historical losses on the portfolio, levels of arrears, credit utilization, loan to collateral ratios and expected receipts and recoveries once impaired) or economic data (such as current economic conditions, unemployment levels and local or industry-specific problems).

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39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.4 CREDIT RISK (Contd...)****39.4.2 Maximum Exposure to Credit risk**

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by the collateral.

Type of Collateral	Maximum Exposure to	Fair Value of Collateral Held				Total Collateral	Net Exposure to
	Credit Risk	Cash / Near Cash	Property Mortgages	Moveable Assets *	Other **	Value	Credit Risk
As at 31 st March 2017							
Cash and Bank Balances (Excluding cash in hand)	334,653,437	-	-	-	-	-	334,653,437
Placement With Banks	384,100,772	-	-	-	-	-	384,100,772
Repurchase Agreements	250,809,890	-	-	-	-	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	-	-	-	7,624,408
Loans and Advances	2,248,066,180	164,754,856	538,541,871	1,153,949,890	3,313,673	1,860,560,290	387,505,890
Lease rentals receivable & Stock out on hire	3,928,657,832	-	-	3,694,689,732	-	3,694,689,732	233,968,100
Financial Investments - Available for Sale	80,400	-	-	-	-	-	80,400
Financial Investments - Held to Maturity	238,572,963	-	-	-	-	-	238,572,963
Other Financial assets	108,507,477	-	-	-	-	-	108,507,477
	7,501,073,359	164,754,856	538,541,871	4,848,639,622	3,313,673	5,555,250,022	1,945,823,337

Type of Collateral	Maximum Exposure to	Fair Value of Collateral Held				Total Collateral	Net Exposure to
	Credit Risk	Cash / Near Cash	Property Mortgages	Moveable Assets *	Other **	Value	Credit Risk
As at 31 st March 2016							
Cash and Bank Balances (Excluding cash in hand)	67,548,678	-	-	-	-	-	67,548,678
Placement With Banks	224,098,165	-	-	-	-	-	224,098,165
Repurchase Agreements	630,158,527	-	-	-	-	-	630,158,527
Financial Investments - Held for Trading	6,915,241	-	-	-	-	-	6,915,241
Loans and Advances	1,249,820,271	113,495,177	392,191,087	494,223,479	5,572,660	1,005,482,402	244,337,869
Lease rentals receivable & Stock out on Hire	3,873,032,728	-	-	3,769,396,511	-	3,769,396,511	103,636,217
Financial Investments - Available for Sale	80,400	-	-	-	-	-	80,400
Financial Investments - Held to Maturity	21,669,813	-	-	-	-	-	21,669,813
Other Financial assets	73,802,179	-	-	-	-	-	73,802,179
	6,147,126,001	113,495,177	392,191,087	4,263,619,990	5,572,660	4,774,878,914	1,372,247,089

* Movable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

** Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans).

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39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.4 CREDIT RISK (Contd...)****39.4.3 Credit Quality by Class of Financial Assets**

The amounts presented are gross of Impairment allowances.

As at 31 March 2017	Neither Past Due nor Individually Impaired	Past Due Not Individually Impaired	Individually Impaired	Total
Assets				
Cash and Bank Balances	376,968,804	-	-	376,968,804
Placement With Banks	384,100,772	-	-	384,100,772
Repurchase Agreements	250,809,890	-	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	7,624,408
Loans and Advances	1,448,058,464	738,070,712	61,937,004	2,248,066,180
Lease rentals receivable & Stock out on Hire	2,301,218,597	1,574,998,890	52,440,345	3,928,657,832
Financial Investments - Available for Sale	80,400	-	-	80,400
Financial Investments - Held to Maturity	238,572,963	-	-	238,572,963
Other financial assets	107,627,817	49,171,875	27,904,052	184,703,743
Total	5,115,062,115	2,362,241,477	142,281,401	7,619,584,993

As at 31 March 2016	Neither Past Due nor Individually Impaired	Past Due Not Individually Impaired	Individually Impaired	Total
Assets				
Cash and Bank Balances	73,385,295	-	-	73,385,295
Placement With Banks	224,098,165	-	-	224,098,165
Repurchase Agreements	630,158,527	-	-	630,158,527
Financial Investments - Held for Trading	6,915,241	-	-	6,915,241
Loans and Advances	837,869,287	351,997,927	59,953,056	1,249,820,271
Lease rentals receivable & Stock out on Hire	1,690,466,460	2,085,470,606	97,095,662	3,873,032,728
Financial Investments - Available for Sale	80,400	-	-	80,400
Financial Investments - Held to Maturity	21,669,813	-	-	21,669,813
Other financial assets	201,964,483	36,257,392	3,237,623	241,459,497
Total	3,686,607,671	2,473,725,925	160,286,340	6,320,619,937

39.4.3.1 Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the end of the relevant financial period.

As at 31 March 2017	Past Due but Not Individually Impaired				Total
	1 to 30 days	31 to 60 days	61 to 90 days	More than 91 days	
Loans and Advances	230,230,277	164,128,873	78,065,440	265,646,122	738,070,712
Lease rentals receivable & Stock out on hire	524,621,687	295,416,729	163,487,667	591,472,807	1,574,998,890
Other financial assets	5,616,355	5,163,070	4,016,378	34,376,072	49,171,875
	760,468,319	464,708,672	245,569,485	891,495,001	2,362,241,477

Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

As at 31 March 2016	Past Due but Not Individually Impaired				Total
	1 to 30 days	31 to 60 days	61 to 90 days	More than 91 days	
Loans and Advances	79,249,900	42,420,869	34,453,902	195,873,256	351,997,927
Lease rentals receivable & Stock out on hire	641,358,019	429,639,453	280,381,664	734,091,470	2,085,470,606
Other financial assets	2,625,039	2,446,936	1,775,997	29,409,420	36,257,392
	723,232,959	474,507,257	316,611,563	959,374,146	2,473,725,925

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39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.4 CREDIT RISK (Contd.)****39.4.4 Analysis of Risk Concentration**

The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2017

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Financial Investments - Held for Trading	Loans and Advances	Lease rentals receivable & Stock out on hire	Financial Investments - Available for Sale	Financial Investments - Held to Maturity	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	-	9,799,863	8,690,219	-	-	-	18,490,082
Manufacturing	-	-	-	1,547,825	19,134,976	22,866,380	-	-	-	43,549,181
Construction	-	-	-	-	67,369,355	41,461,540	-	-	-	108,830,895
Financial Services	376,968,804	384,100,772	-	2,922,800	13,530,929	2,244,575	80,400	-	-	779,848,280
Trading	-	-	-	39,000	71,991,584	14,242,347	-	-	-	86,272,931
Government	-	-	250,809,890	-	-	-	-	238,572,963	-	489,382,853
Hotels	-	-	-	561,450	2,217,406	2,456,330	-	-	-	5,235,186
Services	-	-	-	1,183,587	894,059,031	3,603,103,354	-	-	-	4,498,345,972
Others	-	-	-	1,369,746	1,169,963,036	233,593,087	-	-	108,507,477	1,513,433,346
Total	376,968,804	384,100,772	250,809,890	7,624,408	2,248,066,180	3,928,657,832	80,400	238,572,963	108,507,477	7,543,388,726

As at 31 March 2016

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Financial Investments - Held for Trading	Loans and Advances	Lease rentals receivable & Stock out on hire	Financial Investments - Available for Sale	Financial Investments - Held to Maturity	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	-	13,273,913	18,538,216	-	-	-	31,812,129
Manufacturing	-	-	-	957,763	35,317,769	35,321,051	-	-	-	71,596,582
Construction	-	-	-	-	101,102,969	70,618,119	-	-	-	171,721,088
Financial Services	73,385,295	224,098,165	-	2,846,073	24,712,288	3,421,962	80,400	-	-	328,544,183
Trading	-	-	-	41,500	132,929,187	20,280,786	-	-	-	153,251,473
Government	-	-	630,158,527	-	-	-	-	21,669,813	-	651,828,340
Hotels	-	-	-	634,160	5,418,784	2,885,057	-	-	-	8,938,002
Services	-	-	-	1,195,152	441,046,205	3,546,157,299	-	-	-	3,988,398,656
Others	-	-	-	1,240,593	496,019,155	175,810,238	-	-	73,802,179	746,872,166
Total	73,385,295	224,098,165	630,158,527	6,915,242	1,249,820,271	3,873,032,728	80,400	21,669,813	73,802,179	6,152,962,619

39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.5 INTEREST RATE RISK**

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

39.5.1 Interest Rate Sensitivity

39.5.1.1 The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Company's Profit or Loss and Equity.

Rs. Million			
Borrowings/ Advance	Increase (Decrease) in basis points	Sensitivity of Profit or Loss	Sensitivity of Equity
Long Term Loans linked to AWPLR -LKR	2017 +100/ (-100)	2017 (1.41) / 1.41	2017 (2.48) / 2.48
	2016 +100/ (-100)	2016 (0.75) / 0.75	2016 (0.06) / 0.06

The base ratio considered in the Interest Rate Sensitivity Analysis is the AWPLR. Since 63% of total borrowings (excluding Due to Customers) are linked to AWPLR, the above sensitivity ratio indicates the impact on Profit or Loss and Equity.

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39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.5 INTEREST RATE RISK (Contd...)****39.5.2 Interest Rate Risk**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount caterorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31/03/2017
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	281,963,504	-	-	-	-	95,005,300	376,968,804
Placement with Banks	384,048,045	52,727	-	-	-	-	384,100,772
Securities Purchased under Repurchase Agreement	-	250,809,890	-	-	-	-	250,809,890
Loans and Advances	619,219,423	712,006,394	754,545,182	54,863,979	5,041,053	-	2,145,676,031
Lease rentals receivable & Stock out on Hire	928,025,318	1,342,912,059	1,278,980,503	126,697,428	3,350,338	-	3,679,965,646
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	216,321,780	3,150,104	19,101,079	-	-	238,572,963
Other financial assets	-	-	-	-	-	108,507,477	108,507,477
TOTAL ASSETS	2,213,256,290	2,522,102,850	2,036,675,789	200,662,486	8,391,391	203,593,177	7,184,681,983
LIABILITIES							
Due to Banks	26,238,920	69,444,445	118,055,555	-	-	-	213,738,920
Due to Customers	1,842,797,336	2,522,776,498	1,076,828,418	108,150,293	-	-	5,550,552,545
Other Financial Liabilities	-	-	-	-	-	482,649,541	482,649,541
TOTAL LIABILITIES	1,869,036,256	2,592,220,943	1,194,883,973	108,150,293	-	482,649,541	6,246,941,006
TOTAL INTEREST SENSITIVITY GAP	344,220,034	(70,118,093)	841,791,816	92,512,193	8,391,391	(279,056,364)	937,740,977

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39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.5 INTEREST RATE RISK (Contd...)****39.5.2.1 Interest Rate Risk****Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount caterorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31/03/2016
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	11,637,390	-	-	-	-	61,747,905	73,385,295
Placement with Banks	224,049,147	49,017	-	-	-	-	224,098,164
Securities Purchased under Repurchase Agreement	630,158,527	-	-	-	-	-	630,158,527
Loans and Advances	305,347,276	205,989,315	594,700,594	77,710,965	4,798,695	-	1,188,546,845
Lease rentals receivable & Stock out on Hire	656,315,030	1,122,194,929	1,794,058,182	23,672,139	11,499	-	3,596,251,779
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	77,158	447,515	3,088,000	5,868,958	12,188,182	-	21,669,813
Other financial assets	-	-	-	-	-	73,802,179	73,802,179
TOTAL ASSETS	1,827,584,530	1,328,680,776	2,391,846,776	107,252,062	16,998,376	135,630,484	5,807,993,003
LIABILITIES							
Due to Banks	47,004,092	-	-	-	-	-	47,004,092
Due to Customers	1,149,094,232	1,692,409,186	1,571,289,040	126,569,763	-	-	4,539,362,221
Debt Instruments Issued and Other borrowed funds	31,110,631	-	-	-	-	-	31,110,631
Other Financial Liabilities	-	-	-	-	-	837,025,511	837,025,511
TOTAL LIABILITIES	1,227,208,955	1,692,409,186	1,571,289,040	126,569,763	-	837,025,511	5,454,502,455
TOTAL INTEREST SENSITIVITY GAP	600,375,575	(363,728,410)	820,557,736	(19,317,701)	16,998,376	(701,395,027)	353,490,549

39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.6 LIQUIDITY RISK**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

39.6.1 Statutory Liquid Asset Ratio

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier –II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

	Statutory Liquid Asset Ratio	
	2017	2016
Maximum	29.31%	25.96%
Minimum	14.24%	18.22%
Average	23.62%	21.76%
Closing	21.81%	19.21%

39.6.2 Advances to Deposits ratio

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

	Advances to Deposits Ratio	
	2017	2016
Maximum	109.53%	105.41%
Minimum	97.76%	91.94%
Average	102.68%	99.42%
Closing	104.96%	105.41%

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39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities****39.6.3.1** The table below analyses the maturity profile of the undiscounted cash flows of the Company's financial assets & liabilities as at the end of relevant financial period.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31/03/2017 Rs.
Cash and Bank Balances	376,968,804	-	-	-	-	-	376,968,804
Placement With Banks	35,301,130	354,084,754	56,298	-	-	-	389,442,182
Securities Purchased under Repurchase Agreement	-	-	276,873,626	-	-	-	276,873,626
Financial Investments - Held for Trading	7,624,408	-	-	-	-	-	7,624,408
Loans and Advances	213,663,189	498,143,368	920,296,880	1,092,180,440	101,377,420	8,868,958	2,834,530,255
Lease rentals receivable & Stock out on Hire	429,893,243	702,658,053	1,803,267,913	1,977,295,411	209,086,391	5,970,760	5,128,171,772
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	-	221,415,805	3,165,200	21,605,500	-	246,186,505
Other financial assets	-	108,507,477	-	-	-	-	108,507,477
Total Financial Assets	1,063,450,774	1,663,393,653	3,221,910,522	3,072,641,051	332,069,312	14,920,118	9,368,385,429
LIABILITIES & EQUITY							
Due to Banks	12,350,088	18,005,043	85,692,420	129,104,122	-	-	245,151,673
Due to Customers	371,351,090	1,486,877,630	2,631,955,350	1,140,835,712	117,369,730	-	5,748,389,512
Other Financial Liabilities	-	482,649,541	-	-	-	-	482,649,541
Total Financial Liabilities	383,701,179	1,987,532,214	2,717,647,769	1,269,939,834	117,369,730	-	6,476,190,726
	679,749,595	(324,138,561)	504,262,753	1,802,701,217	214,699,582	14,920,118	2,892,194,703

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39. RISK MANAGEMENT DISCLOSURES (Contd...)**39.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities****39.6.3.2** The table below analyses the maturity profile of the undiscounted cash flows of the Company's financial assets & liabilities as at the end of previous financial period.

	On Demand	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Total as at 31/03/2016
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	73,385,295	-	-	-	-	-	73,385,295
Placement With Banks	31,380,186	194,112,957	51,218	-	-	-	225,544,361
Securities Purchased under Repurchase Agreement	333,939,581	297,423,925	-	-	-	-	631,363,506
Financial Investments - Held for Trading	6,915,241	-	-	-	-	-	6,915,241
Loans and Advances	158,467,755	103,316,042	402,039,008	801,925,596	111,553,687	5,169,500	1,582,471,588
Lease rentals receivable & Stock out on Hire	555,200,917	482,104,475	1,734,772,626	2,226,721,535	55,711,201	11,634	5,054,522,388
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	94,000	2,770,870	8,758,836	12,607,325	14,948,162	39,179,193
Other financial assets	-	73,802,179	-	-	-	-	73,802,179
Total Financial Assets	1,159,288,975	1,150,853,578	2,139,633,722	3,037,405,967	179,872,213	20,209,696	7,687,264,151
LIABILITIES & EQUITY							
Due to Banks	22,246,168	19,248,927	6,169,444	-	-	-	47,664,539
Due to Customers	119,197,581	1,077,375,263	1,918,464,612	1,777,430,675	156,665,564	-	5,049,133,696
Debt Instruments Issued and Other borrowed funds	-	31,339,628	-	-	-	-	31,339,628
Other Financial Liabilities	-	837,025,511	-	-	-	-	837,025,511
Total Financial Liabilities	141,443,749	1,964,989,328	1,924,634,057	1,777,430,675	156,665,564	-	5,965,163,374
	1,017,845,226	(814,135,750)	214,999,666	1,259,975,291	23,206,649	20,209,696	1,722,100,778

39.7 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

40. MATURITY ANALYSIS (CONTRACTUAL)

40.1 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the date of the Statement of Financial Position to the respective contractual maturity dates are given below.

	On Demand Rs.	Less than 3 Months Rs.	03 - 12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31/03/2017 Rs.
ASSETS							
Cash and Bank Balances	376,968,804	-	-	-	-	-	376,968,804
Placement With Banks	35,301,130	348,746,915	52,727	-	-	-	384,100,772
Securities Purchased under Repurchase Agreement	-	-	250,809,890	-	-	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	-	-	-	7,624,408
Loans and Advances	197,795,369	421,424,054	712,006,394	754,545,182	54,863,979	5,041,053	2,145,676,031
Lease rentals receivable & Stock out on Hire	370,612,889	557,412,429	1,342,912,059	1,278,980,503	126,697,428	3,350,338	3,679,965,646
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	-	216,321,780	3,150,104	19,101,079	-	238,572,963
Other financial assets	-	108,507,477	-	-	-	-	108,507,477
Real Estate & Vehicle Stock	-	-	12,166,878	32,532,500	21,351,315	-	66,050,693
Other Non Financial Assets	-	17,415,422	19,654,641	3,318,000	337,000	-	40,725,064
Tax Recoverable	-	-	20,800,270	-	-	-	20,800,270
Property, Plant & Equipment	-	4,443,823	12,639,597	25,495,713	8,823,728	34,440,811	85,843,673
Intangible Assets	-	708,783	2,126,348	5,670,260	5,670,260	8,505,392	22,681,042
Deferred tax assets	-	-	-	57,800,324	-	-	57,800,324
Total Assets	988,302,600	1,458,658,903	2,589,490,584	2,161,492,586	236,844,790	51,417,994	7,486,207,457
Liabilities							
Due to Banks	12,350,088	13,888,832	69,444,445	118,055,555	-	-	213,738,920
Due to Customers	371,038,551	1,471,758,785	2,522,776,498	1,076,828,418	108,150,293	-	5,550,552,545
Other Financial Liabilities	-	482,649,541	-	-	-	-	482,649,541
Other Non Financial Liabilities	-	13,862,374	-	-	-	-	13,862,374
Retirement Benefit Liability	-	-	3,944,830	2,901,140	3,515,000	4,777,350	15,138,320
	383,388,639	1,982,159,532	2,596,165,773	1,197,785,113	111,665,293	4,777,350	6,275,941,700

40.2 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the end of the previous financial period to the respective contractual maturity dates are given below

	On Demand Rs.	Less than 3 Months Rs.	03 - 12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31/03/2016 Rs.
ASSETS							
Cash and Bank Balances	73,385,295	-	-	-	-	-	73,385,295
Placement With Banks	31,372,173	192,676,975	49,017	-	-	-	224,098,164
Securities Purchased under Repurchase Agreement	333,810,726	296,347,801	-	-	-	-	630,158,527
Financial Investments - Held for Trading	6,915,241	-	-	-	-	-	6,915,241
Loans and Advances	152,019,925	58,171,555	258,385,282	617,343,009	97,828,378	4,798,695	1,188,546,845
Lease rentals receivable & Stock out on Hire	378,153,431	278,161,599	1,122,194,929	1,794,058,182	23,672,139	11,499	3,596,251,779
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	77,158	447,515	3,088,000	5,868,958	12,188,182	21,669,813
Other financial assets	-	73,802,179	-	-	-	-	73,802,179
Real Estate & Vehicle Stock	-	26,919,440	6,585,225	28,210,500	21,351,315	-	83,066,481
Other Non Financial Assets	-	80,217,322	13,408,337	3,046,166	1,223,000	-	97,894,824
Property, Plant & Equipment	-	-	-	21,871,725	25,845,464	28,094,076	75,811,265
Intangible Assets	-	-	-	-	-	15,608,896	15,608,896
Deferred tax assets	-	-	-	61,419,536	-	-	61,419,536
Total Assets	975,656,790	1,006,374,029	1,401,070,306	2,529,037,118	175,789,254	60,781,749	6,148,709,246
Liabilities							
Due to Banks	22,246,168	18,757,924	6,000,000	-	-	-	47,004,092
Due to Customers	114,851,353	1,034,242,879	1,692,409,186	1,571,289,040	126,569,763	-	4,539,362,221
Debt Instruments Issued and Other borrowed funds	-	31,110,631	-	-	-	-	31,110,631
Other Financial Liabilities	-	837,025,511	-	-	-	-	837,025,511
Other Non Financial Liabilities	-	8,086,521	-	-	-	-	8,086,521
Current tax liabilities	-	56,345,826	-	-	-	-	56,345,826
Retirement Benefit Liability	-	-	3,376,487	3,755,098	2,503,399	5,614,354	15,249,338
	137,097,521	1,985,569,292	1,701,785,673	1,575,044,138	129,073,162	5,614,354	5,534,184,141

41. COMMITMENTS AND CONTINGENCIES**41.1 Commitments**

As at 31st March 2017	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments-Company as lessee	-	41,111,281	131,498,016	-	172,609,297
	-	41,111,281	131,498,016	-	172,609,297
As at 31st March 2016	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments-Company as lessee	-	40,419,511	154,246,435	16,112,262	210,778,208
	-	40,419,511	154,246,435	16,112,262	210,778,208

41.2 Contingent Liabilities

There were no material contingent liabilities outstanding as at the reporting date.

41.3 Capital Commitments

The Company has no commitments for acquisition of Property, Plant & Equipment incidental to the ordinary course of business.

42. EVENTS AFTER THE REPORTING DATE

The Company issued 11,093,595 ordinary shares by way of a Rights Issue in the proportion of One (01) Ordinary Share for every Five (05) Ordinary Shares held in the capital of the Company (which is ranked pari passu). The company raised Rs. 277,339,875/- from the Rights Issue and increased the Stated Capital of the company from Rupees Eight Hundred and Forty Four Million Seventy Three Thousand and Eighty (Rs.844,073,080/-) representing Fifty Five Million Four Hundred and Sixty Seven Thousand Nine Hundred and Seventy Eight (55,467,978) shares to Rupees One Billion One Hundred and Twenty One Million Four Hundred and Twelve Thousand Nine Hundred and Fifty Five (Rs.1,121,412,955/-) representing Sixty Six Million Five Hundred and Sixty One Thousand Five Hundred and Seventy Three (66,561,573) shares.

43. CAPITAL

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

44. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2017 Rs.	2016 Rs.	
Lease & Hire Purchase Receivables	Bank Overdraft	313,366,667	279,366,667	Lease Rental Receivables and Stock Out on Hire
Placement With Banks	Bank Overdraft	34,000,000	34,000,000	Placement With Banks
Lease & Hire Purchase Receivables	Term Loan	402,777,664	47,193,955	Lease Rental Receivables and Stock Out on Hire
		<u>750,144,331</u>	<u>360,560,622</u>	

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

45. FINANCIAL REPORTING BY SEGMENT

	Leasing		Hire purchase		Term Loans		Others		Total	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Interest Income	904,576,211	933,631,256	20,046,954	56,032,551	453,946,296	130,926,781	116,104,235	68,688,307	1,494,673,696	1,189,278,894
Fee Based Income & Others	87,468,321	97,689,895	659,385	1,167,893	15,986,470	12,729,023	3,964,382	1,050,117	108,078,558	112,636,928
Unallocated Income		-	-	-	-	-	17,754,126	15,317,540	17,754,126	15,317,540
Total Revenue	992,044,532	1,031,321,151	20,706,339	57,200,444	469,932,766	143,655,804	137,822,743	85,055,964	1,620,506,380	1,317,233,363
Interest Expenses	(355,219,827)	(282,782,421)	(7,539,007)	(21,766,189)	(166,229,062)	(85,551,242)	(94,651,865)	(91,121,652)	(623,639,761)	(481,221,503)
Fee Based Expenses & Others	(57,823,136)	(52,012,635)	-	-	(215,708)	(109,903)	(26,708,408)	(24,766,377)	(84,747,252)	(76,888,915)
Impairment Reversal / (Provision)	(11,746,867)	(126,967,604)	11,619,704	(18,922,217)	(60,443,804)	(1,243,861)	(128,798,427)	(78,706,435)	(189,369,393)	(225,840,117)
Net Operating Income	567,254,703	569,558,490	24,787,037	16,512,038	243,044,191	56,750,798	(112,335,957)	(109,538,499)	722,749,974	533,282,828
Unallocated Expenses									(525,343,646)	(402,801,934)
Profits/ (Loss) before Tax									197,406,328	130,480,894
Income Tax expenses									(63,842,188)	(40,356,230)
Net Profit /(Loss) for the period									133,564,140	90,124,664
Other Comprehensive Income									2,542,503	(469,730)
Total Comprehensive Income for the Year									136,106,643	89,654,934
Segment Assets	3,636,435,388	3,488,564,623	43,530,258	107,687,158	2,145,676,031	1,188,546,842	939,534,318	958,992,986	6,765,175,995	5,743,791,609
Unallocated Assets									721,031,462	404,917,637
Total Assets	3,636,435,388	3,488,564,623	43,530,258	107,687,158	2,145,676,031	1,188,546,842	939,534,318	958,992,986	7,486,207,457	6,148,709,246
Unallocated Liabilities									6,275,941,700	5,534,184,140
Total Liabilities									6,275,941,700	5,534,184,140

46. RELATED PARTY TRANSACTIONS

The Company carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business on an arm's length basis at commercial rates with the parties who are defined as Sri Lanka Accounting Standard No.24 Related party disclosure, details of which are reported below. such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

Outstanding balances as at the year-end are unsecured, interest free, and due on demand. There have been no guarantees provided or received for any related party receivables or payables.

Details of related party transactions during the year are as follows:

46.1 The Parent

Abans PLC owns 71.60% (2016- 89.29%) shareholding of the Company.

46.2 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard-LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all of the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity). Such KMPs include the Board of Directors of the Company and Chief Executive Officer (CEO).

Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

Compensation to Key Management Personnel

	2017 Rs.	2016 Rs.
Short Term Employee Benefits	24,630,698	14,454,750
Post-employment benefits	2,000,000	-
	<u>26,630,698</u>	<u>14,454,750</u>

Other transactions with Key Management Personnel

	2017 Rs.	2016 Rs.
Fixed Deposits accepted during the year	2,310,130	15,000,000
Fixed Deposits held at the beginning of the year	1,231,212	13,772,515
Consultancy Fee paid during the year	4,450,600	6,510,173

In addition to the above, the Company has also provided non-cash benefits such as vehicle & fuel allowance to Key Management Personnel in line with the approved employment benefits of the Company.

Loans and advances granted

No loans or advances were given to Key Managerial Personnel and their close family members during the year.(2015/2016- Nil).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2017

46. RELATED PARTY TRANSACTIONS (Contd..)**46.3 Transactions with entities that are controlled, jointly controlled or significantly influenced by Key Management Personnel or their close member of family, or shareholders who have either control, significant influences or joint control over entity.**

Nature of Transaction	Abans PLC Parent Company		Other Related Parties **		Total	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.	2017 Value Rs.	2016 Value Rs.
Fixed Deposits Accepted during the year	-	-	266,000,000	150,000,000	266,000,000	150,000,000
Fixed Deposits held at the end of the year	-	-	350,148,232	160,023,713	350,148,232	160,023,713
As at 1 April	20,593,249	4,003,095	(134,325,229)	(294,693,792)	(113,731,980)	(290,690,698)
Purchase of Articles Consumer Credit Granting	-	-	-	-	-	-
Purchase of Motor Bikes - Lease Granting	-	-	(2,096,101,772)	(2,684,141,194)	(2,096,101,772)	(2,684,141,194)
Collections made on behalf of Abans Finance	1,391,491,587	958,093,773	-	-	1,391,491,587	958,093,773
Expense on collection commission	(15,575,555)	(10,277,499)	-	-	(15,575,555)	(10,277,499)
Sale of real Estate Loan Granting	-	-	-	-	-	-
Interest income on real estate Loan	-	-	-	-	-	-
Printing Expenses	-	-	(2,467,934)	(1,108,138)	(2,467,934)	(1,108,138)
Rent Income Recognized & Expense Recoveries	9,938,041	4,371,181	(903,061)	(845,510)	9,034,980	3,525,671
Rent Expense Paid	-	-	1,310,816	437,755	1,310,816	437,755
Settlements Paid/(Received)	(1,387,025,941)	(935,597,300)	2,015,634,093	2,846,025,650	628,608,152	1,910,428,350
As at 31 March	19,421,382	20,593,249	(216,853,088)	(134,325,229)	(197,431,706)	(113,731,979)
Included in					2017 Rs.	2016 Rs.
Other Financial Assets					(21,011,870)	(22,714,432)
Other Financial Liabilities					218,443,576	136,446,411
					197,431,706	113,731,979

**Other Related Parties include the following companies

Abans Graphics (Pvt) Ltd

Abans Retail (Pvt) Ltd

Abans Auto (Pvt) Ltd

Abans Electricals PLC (Service Department)

Abans Marketing (Pvt) Ltd

ABS Gardner Dixon Hall International (Pvt) Ltd

Abans Office Automation (Pvt) Ltd

Ironwood Investments Holdings (Pvt) Ltd

"Other Related Parties are companies controlled / jointly controlled / significantly influenced by Key Management Personnel.

Abans Finance PLC

KEY PERFORMANCE INDICATORS _ AS PER CBSL REQUIREMENT

Year ended 31 March 2017

INDICATOR	As At 31 March 2017 Audited	As At 31 March 2016 Audited
Regulatory Capital Adequacy		
Core Capital (Tier 1 Capital) Rs.'000	1,190,266	594,525
Total Capital Base Rs.'000	1,187,382	594,525
Core Capital to Risk weighted Asset Ratio % (Minimum 5%)	19.37	11.59
Total Capital to Risk weighted Asset Ratio % (Minimum 10%)	19.32	11.59
Capital Funds to Total Deposit Liabilities Ratio (Minimum 10%)	21.80	13.54
Asset Quality (Quality Of Loan Portfolio)		
Gross Non Performing Accommodations, Rs.'000 *	699,623	605,420
Gross Non Performing Accommodations, Ratio (%) *	11.18	12.11
Net-Non Performing Accommodations, Ratio (%) *	3.76	3.83
<i>* Computed as per the CBSL Guidelines</i>		
Profitability		
Interest Margin (%)	12.78	12.96
Return on Average Assets (%) (Before Tax)	2.90	2.39
Return on Average Equity (%) (After Tax)	14.92	15.74
Regulatory Liquidity (Rs. '000)		
Required Minimum Amount of Liquid Assets	556,197	458,740
Available Amount of Liquid Assets	1,210,305	882,359
Required Minimum amount of Government Securities	330,935	245,025
Available Amount of Government Securities	467,132	630,159
Memorandum Information		
Number of Employees	374	366
No.of Branches	10	10
No.of Service Centers	13	13

CERTIFICATION :

We, the undersigned, being the Director and the Head of Finance of Abans Finance PLC

Certify jointly that :

- (a) the above statement (Key Performance Indicators) have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka;
- (b) the information contained in these statements have been extracted from the audited financial statements of the company

P W K Roshan (Sgnd.)
Head of Finance

K B Wanigasekara (Sgnd.)
Managing Director